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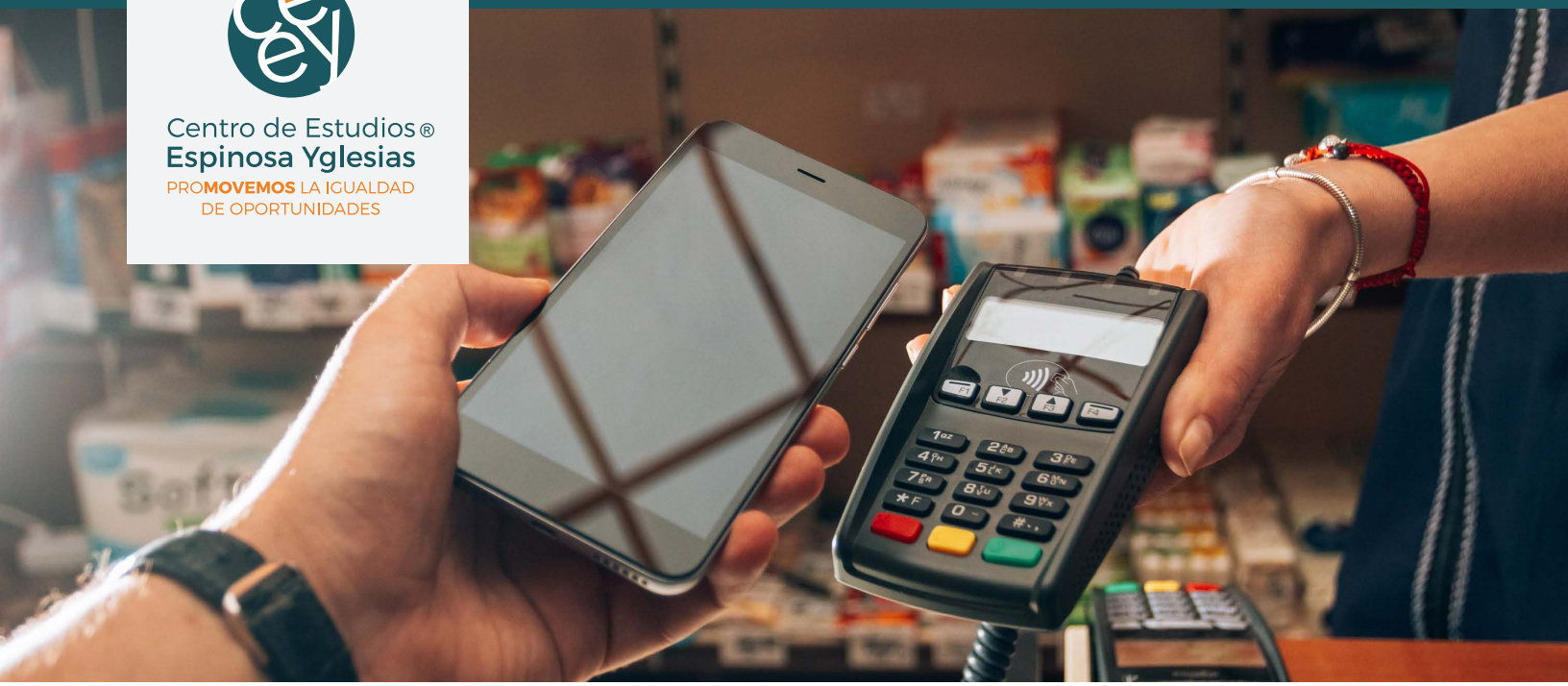

DIGITAL PAYMENT METHODS:
Enabling Factors for Financial Inclusion and Social Mobility

Felipe A. Pérez Sosa[1]

Introduction

Digital payment methods represent a point of access to financial inclusion, especially for those people receiving remittances and government transfers. They are also one of the driving forces behind e-commerce as they allow people and companies to send and receive payments quickly and securely, providing an incentive for both trade and economic growth.

The use of digital payment methods helps to reduce poverty, decrease inequalities, and more effectively weather financial shocks. As such, the proposal outlined herein aims to increase the potential impact that digital payment methods have on the economic well-being of those people who, currently, find themselves excluded from the financial system, especially for microbusiness owners, for whom the adoption of these payment methods represents an opportunity to both increase the size of their market and enter the world of e-commerce.

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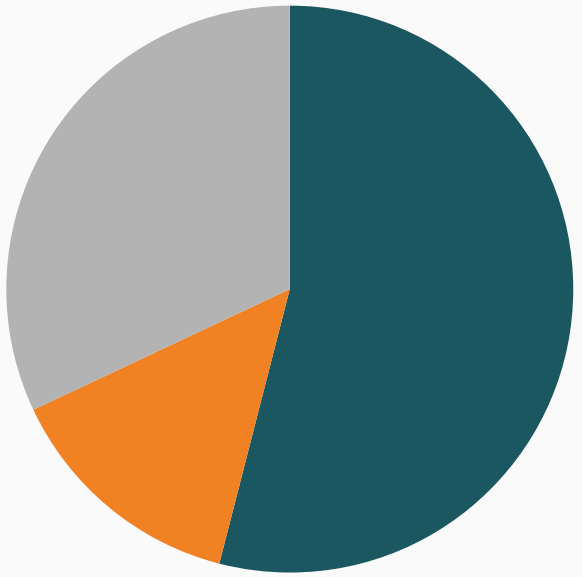
Research Summary

The evidence[2] shows how the use of digital payments has a positive impact on the resilience and growth of small companies. Joining a payment network offers MSME's the opportunity to sell online, which, in turn, leads to an increase in customer numbers and sales channels, decreases costs stemming from bricks-and-mortar premises and inventory, allows them to offer a wider range of products, and reduces the physical distance between suppliers and customers. Furthermore, the data from digital payments could be used to facilitate the design of tailor-made goods and services.

However, only 25% of people in Mexico have a credit, bank or store card, while 46% have a debit card, although around 30% of those who have the latter do not use them, preferring instead to pay mostly in cash. Some obstacles facing the use of digital payment methods in Mexico include people's preference for cash, the mistrust of the financial sector, gaps in terms of age and location (urban and rural), and access to digital infrastructure and the Internet.

Figure 1. **Debit Card Ownership and Use in Mexico**



People who **do not own** a debit card

People who **own and use** a debit card

People who own a debit card but do **not use it**

For these reasons, a panel of experts was convened to discuss how to incentivize the use of digital payment methods in Mexico, in addition to leveraging the effect they have on financial inclusion and, hence, on social mobility. This study was undertaken from a focus on the inequality of opportunities, encompassing the barriers to financial inclusion being faced by the most vulnerable groups, such as a lack of financial services that could favor downward social mobility, and, conversely, access to adequate financial services to drive human capital development and entrepreneurship, which are the driving force behind upward social mobility.

Conclusion and Recommendations

The recommendations and proposals outlined below are the result of a debate on the potential benefits of using digital payment methods to promote financial inclusion and social mobility, in addition to the leading trends, obstacles, challenges and possible solutions to fully leveraging said benefits.

One of the major challenges facing the adoption of digital payment methods is the clear preference for cash prevalent among people in Mexico, which is driven, in part, by a demand for cash for precautionary purposes. As such, it is recommended that the

2 This article is based on the book entitled *Sistema financiero para la movilidad social* (Financial System for Social Mobility) published by the *Centro de Estudios Espinosa Yglesias* and the Tecnológico de Monterrey.

creation of a correspondent banking network —with wide-ranging capillarity and coverage throughout Mexico— should be promoted and facilitated to help reduce current administrative requirements and burdens in order to help small business owners to use it in areas in which no banks are physically present. This would help bring people closer to cash-in and cash-out access points, and, therefore, the demand for cash for precautionary reasons would decrease, as has been seen in the financial inclusion success story of Kenya, where 93% of the country's population lives at least five kilometers away from a cash withdrawal point.

Another significant obstacle facing the adoption of digital payment methods in Mexico is the transactional cost structure for using the payment network. As such, it would be expedient to decrease the exchange rate for paying for public transportation, taxes, and low-value transactions in order to drive the use of digital payment methods among those excluded, which would have a direct impact on the financial inclusion of vulnerable groups.

Furthermore, and in order to incentivize the use of digital payment methods for low-value transactions, it would be prudent to facilitate the technological interoperability of different applications in order to make the use of digital payment methods more practical and ensure that the storage capacities of cellphones do not represent an impediment to the former, given that users currently have to download several applications to execute transactions with different businesses and service providers, which is untenable for users who have devices with limited storage capacity.

Another major obstacle to the healthy development of payment systems in Mexico is the lack of competitiveness within the payment network and its clearing houses, which results in fewer benefits for its users, in addition to constraining the adoption of digital payment methods by microbusiness owners. As such, it would be sensible to promote competition within the payment market, in addition to ensuring that clearing houses no longer belong to banks in order to stop them from having access to inside information on their competitors, driving greater flexibility within the Electronic Payment Fund Institutions (IFPE) model, promoting greater cooperation between the central bank and the economic competition authority in terms of the regulation of payment methods, and avoiding conflicts of interest between purchasers, clearing houses and other players within the sector.

As such, a competent regulator, which has the technical capacity necessary to leverage the advantages that technology brings and is capable of detecting fraudulent operations and applications opportunely – all of which inhibits the use of digital payment methods - is necessary. To achieve this, it would be expedient to invest in human capital development and retention within supervisory bodies and public policy institutes in the area, in addition to the use of *regtech* and *suptech* solutions to help drive effectiveness.

Regtech is the use of technology to more effectively and efficiently meet regulatory and compliance requirements, while *suptech* is the use of technology for supervisory purposes. Some applications of these technologies include the monitoring of regulatory changes, fraud detection, customer knowledge, behavioral and prudential risk management, and the publication of systemized regulatory reports and audit records.

It would also be desirable if the *Banco del Bienestar* were to make a greater commitment to digitalization, in order to facilitate the accessibility of services from mobile devices while promoting the use of their cards to pay for public transportation, taxes and basic services.

Another relevant aspect that hinders the adoption of digital payment methods is people's fear of taxation. It would therefore be recommendable for communication campaigns to be rolled out to help modify the narrative and image of the Mexican tax authorities (SAT) among small business owners, in addition to avoiding the use of the financial system for fiscal purposes, given that many businesses prefer to do business informally so as to avoid exposure to the tax authorities, a move that impedes their growth and limits the opportunity for social mobility among micro-entrepreneurs. Furthermore, it would also be sensible to increase operation amounts that do not require customer identification.

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